

recalculating their chances as the hand unfolds. Consistent winners raise their bet as their position strengthens, and they exit the game when the odds are against them, while consistent losers hang on to the bitter end of every expensive pot, hoping for miracles and enjoying the thrill of defeat. In stud poker and on Wall Street, miracles happen just often enough to keep the losers losing.

Consistent winners also resign themselves to the fact that they'll occasionally be dealt three aces and bet the limit, only to lose to a hidden royal flush. They accept their fate and go on to the next hand, confident that their basic method will reward them over time. People who succeed in the stock market also accept periodic losses, setbacks, and unexpected occurrences. Calamitous drops do not scare them out of the game. If they've done the proper homework on H & R Block and bought the stock, and suddenly the government simplifies the tax code (an unlikely prospect, granted) and Block's business deteriorates, they accept the bad break and start looking for the next stock. They realize the stock market is not pure science, and not like chess, where the superior position always wins. If seven out of ten of my stocks perform as expected, then I'm delighted. If six out of ten of my stocks perform as expected, then I'm thankful. ***Six out of ten is all it takes to produce an enviable record on Wall Street.***

Over time, the risks in the stock market can be reduced by proper play just as the risks in stud poker are reduced. With improper play (buying a stock that's overpriced) even the purchase of Bristol-Myers or Heinz can result in huge losses and wasted opportunities, as I've said. It happens to people who imagine that betting with blue chips relieves them of the need to pay attention, so they lose half their money in quick fashion and may not recoup it for another eight years. In the early 1970s millions of uninformed dollars chased overpriced opportunities and soon disappeared as a result. Does that make Bristol-Myers and McDonald's risky investments? Only because of the way people invested in them.

On the other hand, assuming you'd done the homework, putting your money on the risky and troubled General Public Utilities, the owners of the Three Mile Island nuclear problem, was far more "conservative" than an ill-timed investment in solid old Kellogg.

Not wanting to "risk" investment capital that belonged to my mother-in-law, Mrs. Charles Hoff, I once advised her to buy stock in Houston Industries, a very "safe" company. It was safe all right—the stock did nothing for more than a decade. I figured I could take more of a "gamble" with my own mother's money, so I bought her the "riskier" Consolidated Edison. It went up sixfold. Con Ed wasn't all that risky to those who had continued to monitor the fundamentals. The big winners come from the so-called high-risk categories, but the risks have